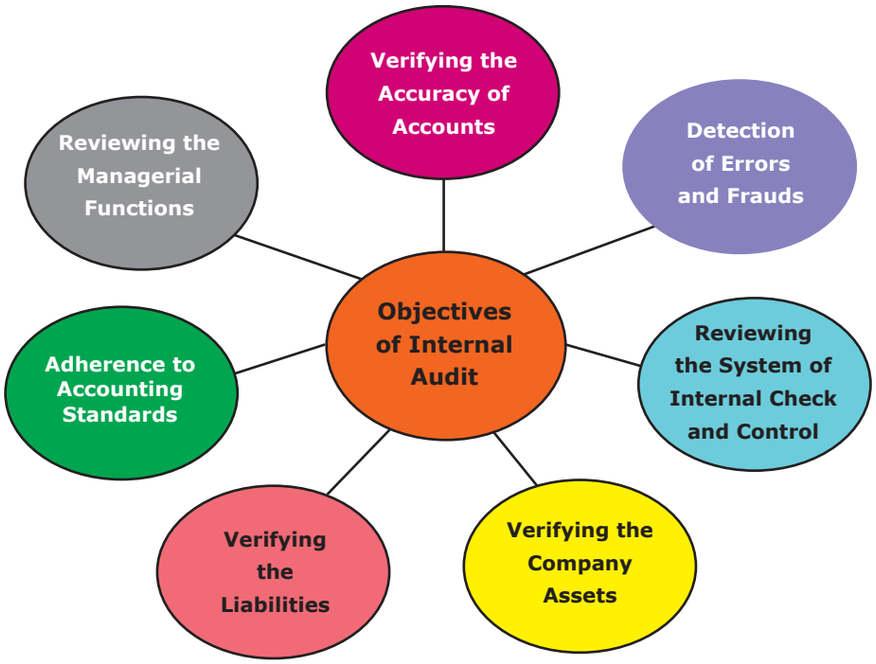
3.4 Objectives of Internal Audit

The objectives of Internal Audit or the duties of an Internal auditor are as follows:



1. **Verify the Accuracy of Accounts:** The primary aim of internal audit is to verify the correctness and accuracy of the financial records and accounts that are being presented to the management.
2. **Detection of Errors and Frauds:** Internal auditor has to adopt suitable techniques and measures to detect errors and frauds, which are likely to be committed in the organization.
3. **Review the Internal Check and Control System:** The auditor has to review and comment on the effective function of the internal check and internal control system within the organization. Any deviation in the function of the system should be reported to the management and the auditor should initiate suitable recommendations.
4. **Verify the Assets of the Company:** Internal auditor should verify the existence of the assets in the company and should verify that proper measures are taken to protect or maintain the assets. He should also verify that assets are purchased or sold or replaced only with the approval of an authorized person.
5. **Verify the Liabilities:** The internal auditor has to verify that the liabilities incurred by the organization are legitimate and they are likely to be incurred for the organizational activities.
6. **Adherence to Accounting Standards:** Internal auditor has to ensure that the Accounting Standard practices are followed by the organization are strictly adhered.
7. **Review the Managerial Functions:** Internal auditor has to review the managerial functions of an organization and has to report on them to the management.

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